

Financial Statement Analysis (FSA)

**Comparative, Common Size and Ratio
Analysis**

Primary Objective

Provide Information to

- Management Group (Managers)
- Financing Group (Investors, Creditors)
- Public Group (Government)

Tools and Techniques:

- Horizontal Analysis
- Vertical Analysis
- Trend Analysis
- Ratio Analysis

FSA is useful to analyse the performance of

- An individual company (over period of times)
- Different companies (in the same industry or in different industry)

Purpose of FSA

Future Performance (Projection) = Past performance + Current position

Different Motives of Analysis:

- Investors: Dividend and market price Appreciation
- Creditors: Interest and repayment of principal amount
- Managers: Manage risk return trade off
- Controlling Agencies: Fair and full disclosure of the Information

Basis of comparison

- Set standard of the Industry
- Performance indicators
- Past performance of the company

Sources of information:

- Company reports
- Stock Exchanges
- Business periodicals
- Information services

Quality of earnings: (Recurring earnings/ non recurring earnings)

- Choice of accounting methods
- Extra ordinary items
- Prior period items
- Discontinued operations
- Changes in accounting policies
- Income from non operating sources

Techniques of Financial Statement Analysis

1. Horizontal Analysis (Dynamic Analysis)

a) Comparative Statements

- Comparative Income Statement
- Comparative Balance Sheet

b) Trend Analysis

2. Vertical Analysis (Static Analysis)

a) Common Size Statements

- Common Size Income Statement
- Common Size Balance Sheet

b) Ratio Analysis

- Profitability Ratios
- Liquidity Ratios
- Solvency Ratios
- Capital market Ratios

ABC Ltd.
Comparative Income Statement for the year ending 2024 & 2025

Particulars	2024 (Rs.)	2025 (Rs.)	Increase (+) Decrease (-) Amount (Rs.)	Increase (+) Decrease (-) <u>Percentage(%)</u>
Sales	360728	417125	+56397	+15.63
Less: Sales Return	5794	6952	+1158	+19.98
	354934	410173	+55239	+15.56
Less: Cost of goods sold	231625	241950	+10325	+4.46
Gross Profit (GP)	123309	168223	+44914	+36.42
Operating Expenses:				
Office Expenses	23266	27068	+3802	+16.34
Selling Expenses	45912	57816	+11904	+25.93
Total Operating Expenses	69178	84884	+15706	+22.70
Operating Profit (EBIT)	54131	83339	+29208	+53.96
Add: Other Incomes	5523	3206	-2317	-41.95
	59654	86545	+26891	+45.08
Less: Other Expenses	2764	1925	-839	-30.35
Profit before tax (PBT)	56890	84260	+27230	+8.74
Less: Tax	21519	40195	+18676	+86.79
Profit after tax (PAT)	35371	44425	+9054	+25.60

ABC Ltd.

Comparative Balance Sheet

Particulars	31 st Dec. 2024 Rs.	31 st Dec. 2025 Rs.	Increase(+) Decrease(-) Amount Rs.	<u>Increase(+)</u> <u>Decrease(-)</u> Percentages
Current Assets:				
Cash (Bank/Hand)	50000	83000	+33000	+66
Bills Receivables	20000	60000	40000	+200
Debtors	100000	125000	+25000	+25
Stock	40000	50000	+10000	+25
Prepaid expense	10000	12000	+2000	+20
Total Current <u>Assets</u>	220000	330000	110000	+50
Fixed Assets	240000	350000	+110000	+45.83
Total Assets	460000	680000	+220000	47.83

Liabilities:**Current Liabilities:**

Bank Overdraft	50000	50000	-----	-----
Creditors	40000	50000	+10000	+25
Proposed Dividend	15000	25000	+10000	+66.67
Provision for taxation	20000	25000	+5000	+25

Total Current Liabilities	125000	150000	+25000	+20

Capital and Reserves:

Equity Share Capital	200000	330000	+130000	+65
Preference Share Capital	100000	150000	+50000	+50
Reserves	20000	30000	+10000	+50
Profit and Loss a/c	15000	20000	+5000	+33.33

Total capital and Reserves	335000	530000	+195000	+58.21

Total Liabilities	460000	680000	+220000	+47.83

Horizontal Analysis
Grace Corporation
Comparative Profit & Statement
(For the years ended March 31st 2025 and 2024)

	2025	2024	Change Amount /Percentage	
Net Sales	Rs 9,73,000	Rs 8,84,000	Rs 89,000	+10
Cost of Goods Sold	6,85,000	5,76,000	1,09,000	+18
Gross Profit	2,88,000	3,08,000	(20,000)	-6
Selling and Administrative Expenses	53,000	45,000	8,000	+18
Profit Before Interest and Tax	2,35,000	2,63,000	(28,000)	-11
Interest Expense	18,000	14,000	4,000	+29
Profit before Income Tax	2,17,000	2,49,000	(32,000)	-13
Income Tax	1,05,000	1,20,000	(15,000)	-13
Profit after Tax	1,12,000	1,29,000	(17,000)	-13

Analysis

- **The horizontal analysis** of the financial statements of **Grace Corporation** shows that the profit after tax decreased by 13 percent from 2024 to 2025.
- Profit after tax decreased mainly due to the disproportionate increase in cost of goods sold (cost of purchases and manufacturing expenses) not matched by increase in sales revenue.
- The assets of Grace Corporation increased by 21 percent. Inventories, debtors and current liabilities showed significant percentage increases, while cash and investments declined sharply.
- The asset increases were financed partly by substantially higher borrowings and to a lesser extent by equity.
- A large part of the additional borrowings were in the form of current liabilities.
- In sum, in 2025 Grace Corporation recorded a drop in its profits, accumulated inventories and debtors, depleted cash and investments to pay its current obligations, and depended heavily on short-term sources for its needs.

Grace Corporation

Comparative Balance Sheet as at March 31st 2025 & 2024

	2025	2024	Change	
			Amount	%
Shareholders' Funds				
Share Capital	Rs 2,50,000	Rs 2,50,000	Rs 0	+ 0
Reserves and Surplus	1,18,000	86,000	32,000	+ 37
	3,68,000	3,36,000	32,000	+ 10
Liabilities				
Secured Loans	90,000	80,000	10,000	+ 13
Unsecured Loans	30,000	10,000	20,000	+ 200
Current Liabilities				
	2,33,000	1,71,000	62,000	+ 36
	3,53,000	2,61,000	92,000	+35
	7,21,000	5,97,000	1,24,000	+21

Assets

Fixed Assets (net)	Rs 3,22,000	Rs 2,65,000	Rs 57,000	+ 22
Investments	28,000	43,000	(15,000)	- 35
Current Assets:				
Inventories	1,06,000	49,000	57,000	+ 116
Debtors	2,09,000	1,56,000	53,000	+ 34
Cash	44,000	70,000	(26,000)	- 37
Other Current Assets	12,000	14,000	(2,000)	- 14
	<u>7,21,000</u>	<u>5,97,000</u>	<u>1,24,000</u>	<u>+ 21</u>

Common-size Financial Statements

Grace Corporation
Common-size Profit and Loss Accounts
For the years ended March 31, 2025 and 2024

	2025	2024	2025	2024
Net Sales	Rs 9,73,000	Rs 8,84,000	100%	100%
 Cost of Goods Sold	 6,85,000	 5,76,000	 70	 65
Gross Profit	2,88,000	3,08,000	30	35
 Selling and Administrative Expenses	 53,000	 45,000	 5	 5
Profit before Interest and Tax	2,35,000	2,63,000	25	30
 Interest Expense	 18,000	 14,000	 2	 1
Profit before Income Tax	2,17,000	2,49,000	23	29
 Income Tax	 1,05,000	 1,20,000	 11	 14
Profit after Tax	1,12,000	1,29,000	12	15

Grace Corporation
Common-size Profit and Loss Accounts
For the years ended March 31, 2025 and 2024

	2025	2024	2025	2024
	Rs.	Rs.	%	%
Shareholders' Funds				
Share Capital	2,50,000	2,50,000	35	42
Reserves and Surplus	1,18,000	86,000	16	14
	3,68,000	3,36,000	51	56
Liabilities				
Secured Loans	90,000	80,000	13	13
Unsecured Loans	30,000	10,000	4	2
Current Liabilities	2,33,000	1,71,000	32	29
	3,53,000	2,61,000	49	44
	7,21,000	5,97,000	100	100

Assets

Fixed Assets (net)	3,22,000	2,65,000	44	44
Investments	28,000	43,000	4	7
Current Assets:				
Inventories	1,06,000	49,000	15	8
Debtors	2,09,000	1,56,000	29	26
Cash	44,000	70,000	6	12
Other Current Assets	12,000	14,000	2	3
	3,71,000	2,89,000	52	49
Total Assets	7,21,000	5,97,000	100	100

Analysis

- The **common-size financial statements** of Grace Corporation show that the company's profit margin (before tax) declined from 29 percent on sales to 23 percent on sales.
- This happened because there was a 5 percent drop in the gross profit margin (this could be due to a decrease in selling prices or increase in costs or both) and a 1 percent increase in interest expense.
- Lower taxes resulting from lower profits resulted in a 3 percent decrease in income tax.
- There was a clear shift in the manner of financing with the share of equity in total funds declining from 56 percent to 51 percent.
- The gap was filled with borrowings, mostly of a short-term nature.
- The share of current assets in total assets went up by 3 percent and this seems to have been met with the sale of some investments.

Ratio Analysis

Grace Corporation

Profitability Ratios

		2025	2024
Profit Margin	$\frac{\text{Profit after Tax}}{\text{Net Sales}}$	$\frac{\text{Rs } 1,12,000}{\text{Rs } 9,73,000} \times 100 = 11.5\%$	$\frac{\text{Rs } 1,29,000}{\text{Rs } 8,84,000} \times 100 = 14.5\%$
Asset Turnover	$\frac{\text{Net Sales}}{\text{Average Total Assets}}$	$\frac{\text{Rs } 9,73,000}{\text{Rs } 6,59,000} \times 100 = 1.48 \text{ times}$	$\frac{\text{Rs } 8,84,000}{\text{Rs } 5,03,500} \times 100 = 1.76 \text{ times}$
Return on Assets	$\frac{\text{Profit after Tax}}{\text{Average Total Assets}}$	$\frac{\text{Rs } 1,12,000}{\text{Rs } 6,59,000} \times 100 = 17\%$	$\frac{\text{Rs } 1,29,000}{\text{Rs } 5,03,500} \times 100 = 25.6\%$
Return on Equity	$\frac{\text{Profit after Tax}}{\text{Average Shareholders' Equity}}$	$\frac{\text{Rs } 1,12,000}{\text{Rs } 3,52,000} \times 100 = 31.8\%$	$\frac{\text{Rs } 1,29,000}{\text{Rs } 2,81,500} \times 100 = 45.8\%$

Liquidity Ratios

		2025	2024
Current Ratio	<u>Current Assets</u> Current Liabilities	$\frac{\text{Rs } 3,71,000}{\text{Rs } 2,33,000} = 1.59$	$\frac{\text{Rs } 2,89,000}{\text{Rs } 1,71,000} \times 100 = 1.69$
Quick Ratio	<u>Quick Assets</u> Current Liabilities	$\frac{\text{Rs } 2,65,000}{\text{Rs } 2,33,000} = 1.14$	$\frac{\text{Rs } 2,40,000}{\text{Rs } 1,71,000} = 1.40$
Average Debt Collection Period	<u>Average Debtors</u> Net Sales/360 days	$\frac{\text{Rs } 1,82,500}{\text{Rs } 2,702} = 67.5 \text{ days}$	$\frac{\text{Rs } 1,38,000}{\text{Rs } 2,456} = 56.2 \text{ days}$
Inventory Turnover	<u>Cost of Goods Sold</u> Average Inventory	$\frac{\text{Rs } 6,85,000}{\text{Rs } 77,500} = 8.84 \text{ times}$	$\frac{\text{Rs } 5,76,000}{\text{Rs } 43,000} = 13.4 \text{ times}$

Efficiency Ratios

	Formula	2025	2024
Debtors Turnover Ratio	Net Credit Sales/Average Debtors	₹9,73,000/₹1,82,500 = 5.33 times	₹8,84,000/₹1,38,000 = 6.41 times
Average Debt Collection Period	Average Debtors/Net Sales*360 days	₹1,82,500/₹2,702 = 67.5 days	₹1,38,000/₹2,456 = 56.2 days
Inventory Turnover Ratio	Cost of Goods Sold/Average Inventory	₹6,85,000/₹77,500 = 8.84 times	₹5,76,000/₹43,000 = 13.4 times
Fixed Assets Turnover Ratio	Net Sales/Net Fixed Assets	₹9,73,000/₹3,22,000 = 3.02 times	₹8,84,000/₹2,65,000 = 3.34 times
Total Assets Turnover Ratio	Net Sales/Total Assets	₹9,73,000/₹7,21,000 = 1.35 times	₹8,84,000/₹5,97,000 = 1.48 times
Working Capital Turnover Ratio	Net Sales/Net Working Capital	₹9,73,000/₹1,38,000 = 7.05 times	₹8,84,000/₹1,18,000 = 7.49 times

Solvency Ratios

		2025	2024
Debt to Equity	<u>Total Liabilities</u> Shareholders' Equity	$\frac{\text{Rs } 3,53,000}{\text{Rs } 3,68,000} = 0.96$	$\frac{\text{Rs } 2,61,000}{\text{Rs } 3,36,000} = 0.7$
Interest Coverage	<u>Profit before Interest and Tax</u> Interest Expense	$\frac{\text{Rs } 2,35,000}{\text{Rs } 18,000} = 13.0 \text{ times}$	$\frac{\text{Rs } 2,63,000}{\text{Rs } 14,000} = 18.8 \text{ times}$

Capital Market Ratios

		2025	2024
Price-Earnings	<u>Market Price per Share</u> Earnings per Share	$\frac{\text{Rs } 30}{\text{Rs } 4.48} = 6.67 \text{ times}$	$\frac{\text{Rs } 40}{\text{Rs } 5.16} = 7.75 \text{ times}$
Dividend Yield	<u>Dividend per Share</u> Market Price per Share	$\frac{\text{Rs } 3.20}{\text{Rs } 30} = 10.7\%$	$\frac{\text{Rs } 2.80}{\text{Rs } 40} = 7\%$

Analysis

Profitability:

- All the four major indicators of profitability, the profit margin, asset turnover, return on assets, and return on equity, deteriorated in 2025.
- There was a steep fall both in the profit margin ratio and asset turnover. It is clear that in 2025, Grace Corporation earned less per rupee of sales and sold less per rupee of assets.
- The cumulative effect of deterioration in margin and turnover was a decline in the return on assets from 25.6 percent in 2024 to 17 percent in 2025.
- The return on equity fell by nearly 14 percent in 2025.
- On the whole, the operations of Grace Corporation in 2025 were far less profitable than in 2024.

Liquidity

- All the four indicators of liquidity - the current ratio, liquidity ratio, average debt collection period, and inventory turnover - worsened in 2025.
- Again, the fall was significant. The average credit period went up from 56 days in 2024 to 68 days in 2025
- Inventory turnover dropped from 13.4 times in 2024 (an average inventory holding of 27 days' requirement) to 8.84 times in 2025 (41 days).
- Thus, there was a significant build-up in inventories and debtors, which suggests a general slow-down in the company's business.
- Grace Corporation experienced significantly lower liquidity in 2024 as a result of which its ability to honour short-term obligations was affected.

Efficiency

- Overall, Grace Corporation's operating efficiency appears to have declined in 2025. Inventory turnover, debtors turnover, fixed assets turnover, total assets turnover and working capital turnover all decreased. In particular, the significant increase in the collection period from 56.2 to 67.5 days indicates slower recovery of receivables. The sharp rise in inventory also resulted in a substantial fall in inventory turnover.
- While sales increased from ₹8,84,000 to ₹9,73,000, the increase in assets, inventory and debtors was proportionately higher, leading to a general decline in efficiency.

Solvency

- Both the solvency ratios, the debt-to-equity ratio and interest coverage, worsened in 2024. In 2025, Grace Corporation was more indebted per rupee of own funds and became less safe in the matter of payment of interest, although the situation was not still so bad as to trigger fears about default.

Capital Market Standing

- The two capital indicators, the price-earnings ratio and dividend yield, went down in 2025.
- The market seemed to have lesser confidence in Grace Corporation's future earning potential, as shown by the decline in the company's price-earnings ratio.
- The shareholders of the company lost 25 per cent of the share value but earned a slightly higher return by way of dividends from the company with the dividend yield increasing by more than 3 percent.
- On the whole, Grace Corporation recorded significant deterioration in profitability, liquidity, solvency and capital market standing.